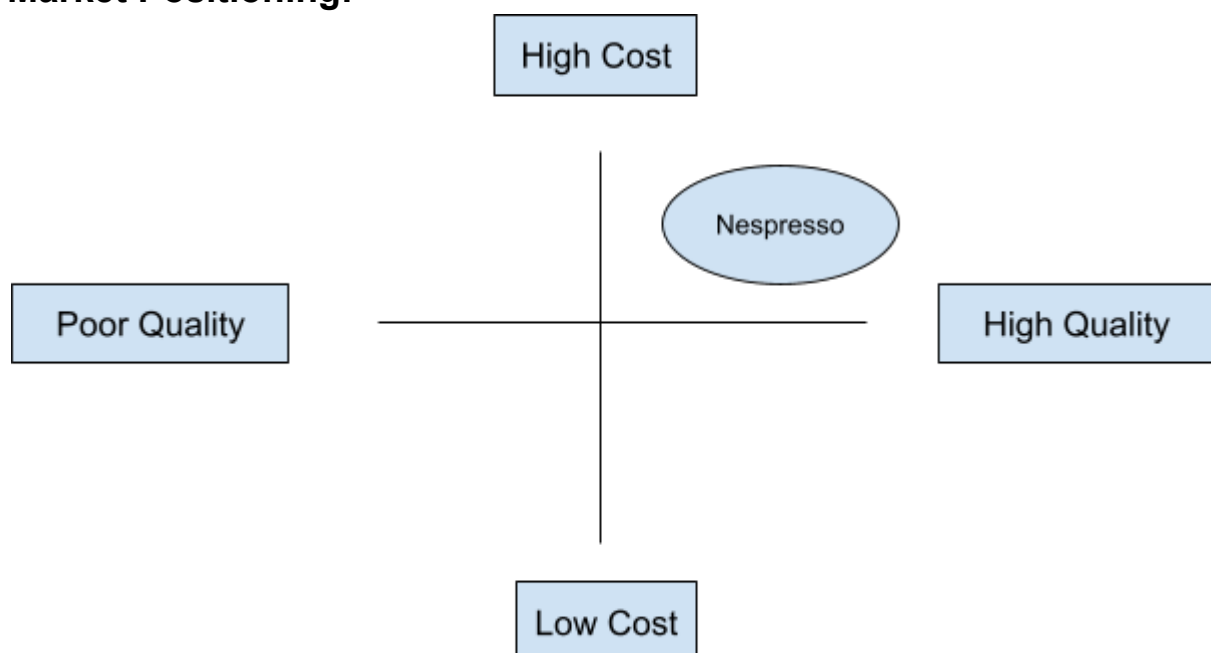


Nespresso Marketing Plan

Target Market and Segmentation: Identifying the Customer Persona

Segmentation type	Variables
Demographic segmentation	High-income coffee enthusiasts (25-60 years), leisure travelers, working-class populations, office workplaces, industries, luxury services • B2C - Regular Coffee drinkers (ages 25-60 years) who consume over seven capsules per week. They look for quality, easy coffees for home/office use, and value coffee as indulgence. • B2B - Gourmet restaurants and first-class airlines service
Geographic segmentation	Coffee boutiques in upmarket places in major cities in Switzerland, France, Italy, the US (New York), and Britain, among others
Psychographic segmentation	This approach categorizes customers based on their psychographic profiles, i.e., personality and lifestyle. Nespresso seeks to meet the growing interest in quality, portioned coffee and slim and fast machines for home/office use
Behavioral segmentation	Nespresso keeps a database of its club members based on their usage rate. It makes follow-ups for heavy product users who fail to make orders on the anticipated date

Market Positioning:



Nespresso see itself as a luxury brand in the market offering a premium yet affordable price for its products. The range of machines and functionality reflect the price points depending on home/commercial office use, regardless every machine is made through quality manufacturers such as Delonghi and Breville. Customers actually end up saving money as the machine is the only investment, after which pods can be purchased in packs - each pod is around \$1-2, whereas other coffee shops like Starbucks charge \$7 for a cup of coffee.

Competitive Analysis

Market Share : The global Nespresso Capsules Market 2023 [New Research] report market size was valued at USD 13375.0 million in 2021 and is expected to expand at a CAGR of 10.99% during the forecast period, reaching USD 25000.0 million by 2027.

Biggest Players :

- Keurig
- Tassimo By Kraft
- Maison Du Café (L'Or) By Sara Lee
- Ethical Bean Coffee
- Illy
- Lavazza

The competition in the industry seems to be quite high due to low barriers for entry, cheaper and more abundant substitutes i.e Keurig. However, Nespresso has benefitted from market share growth year after year hence showing a strong retainable customer base as a result of being a subsidiary of the conglomerate - Nestle.

Customer buyer power is decreasing due to inflation and recession economy as well.

Marketing Strategy Analysis - In Place

Product – Nespresso sells elegant vendors with innovative, user-friendly designs. It offers luxury quality coffees that appeal to diverse client tastes and preferences. Product line includes coffee machines, milk frothers, coffee pods, travel mugs, cups and coffee chocolates. They also huge discounts during holiday season through penetration pricing strategy to gain maximum customer base.

Price – Employs a price differentiation strategy to meet demands of different demographics with emphasis on market skimming/premium pricing to display quality: machines cost between \$150 (home) and \$2000 (business), while capsules range between \$1 - \$3.

Promotion – Involves social media advertising, events, sponsorships, TV ads with celebrity endorsements (George Clooney), and CRM programs (Nespresso Exclusive Club). They also make use of digital marketing strategies such as SEO, PPC, and Targeted Ads by collecting cloud data.

Place – It owns over 190 retail outlets in 50 nations that increase its international presence through direct customer contact. The Nespresso Club offers personalized service/distribution channels to clients - with overnight pod delivery. Boutiques are also available to taste coffee, buy pods and machines and send used pods for recycling. Additionally, booth setups are also available at grocery outlets i.e. walmart and superstore for information,.

Physical evidence – It sells elegant, innovative, and slim machines. It also places aesthetics in its boutiques for a unique 'coffee shop experience'.

Process – It employs a customer-centered strategy through the Nespresso Club and CRM activities.

People – Its well-trained staff act as brand ambassadors to build a strong image/reputation in the industry.

In addition to the permanent collections, Nespresso typically introduces several extraordinary and rare Limited editions each year. Seasonal demand is also met by limited time coffee pod flavour options for holidays such as Christmas and Valentines Day. Moreover, they have partnered with other coffee conglomerates such as Starbucks to offer collaboration coffee pods to meet the market gap.

Leveraging a cloud-based customer engagement solution that synthesizes all consumer data (web and app orders, in-store orders, behavioral analytics, interactions with Nespresso kiosks) to provide all-in-one unified customer view.

Summary

Nespresso has a strong presence in over 50 countries globally, making it a market leader in the premium coffee sector. Locally, Nespresso has strategic partnerships with a Swiss espresso machine manufacturer, Turmix, to produce in-house designs. Besides, Nespresso has a strategic alliance with The Rainforest Alliance, a local premium coffee supplier.

A second strategy involves the Nespresso Club, a direct marketing approach for the timely delivery of quality coffee to consumers. The Club offers a 24-hour order-taking function that allows customers to place direct orders through telephone or mail. The Club also handles outbound logistics to reduce delays in delivery and offers personalized advice on coffee flavors and blending to consumers through connoisseurs.

Close customer relationship marketing (CRM) helps build long-term customer engagement and brand loyalty. This way, Nespresso is able to streamline its performance through repeat purchases.

Nestlé's Nespresso has utilized diverse strategies to strengthen its visibility in the international market :

Retail stores – Nespresso has established over 190 boutiques and coffee bars/shops in key global locations, including New York, Latin America, and Austria.

Celebrity branding – Nespresso used George Clooney in its global advertising campaigns. Celebrity branding uses a sports/movie personality as a “brand ambassador for the firm” to promote a product

Machine partnerships – Nespresso has business partnerships with international machine suppliers such as Philips, Siemens, and Jura, among others. Thus, customers can choose from a diverse range of appliances with different functionalities, designs, and prices.

Partnerships with airlines – In a bid to internationalize the brand, the firm formed partnerships with leading global airlines to offer in-flight Nespresso coffee to travelers. The airlines include British Airways and Swissair. Nespresso also formed partnerships with the French and Belgian gourmet restaurants to promote the brand.

A Way Forward

In order to be more competitive, Nespresso can take advantage of digital marketing mediums by the use of blog posts and reviews. It can also benefit from customer recommendations and endorsements by the use of reviews on the website itself. Bidding on more PPC keywords such as :

- “Luxury coffee machines Canada”
- "High-end coffee makers for home"
- "Commercial coffee machines for office"
- "Single-Serve Coffee Makers Canada"
- "Eco-friendly coffee pod machine"

Can help Nespresso rank higher in the SERP thereby attracting more customers. Making use of affiliate and influencer marketing programs can also help Nespresso be cost effective and reach a better brand image.

Nespresso can employ product diversification tactics by:

- 1) Selling coffee substitute products such as Tea, Hot Chocolate, etc.
- 2) Have custom pressable pods where a customer can put their own choice of coffee - they can price this higher as it can be a premium feature
- 3) Selling more coffee based products and compliments - alcohol coffee such as Baylies